NEPAL CHARTERED ACCOUNTANTS ACT, 2053 (1997)

Act No. 22 of the year 2053

(Unofficial Translation)

	Particulars	**Date (BS)**
	Date of Royal Seal and Publication	2053.10.17
	Acts amending this Act: (Date of Authentication and Publication)	
1	Nepal Chartered Accountants (First Amendment) Act, 2059	2059.3.24
2	Republic Strengthening and Some Nepal Laws Amendment Act, 2066[1]	2066.10.7
3	Some Nepal Acts Amendment Act, 2072	2072.11.13
4	Act to Amend Some Nepal Acts to Bring them in Conformity with the Constitution of Nepal, 2075	2075.11.19

.....[2]

An Act Made to Provide for the Establishment and Management of the Institute of Chartered Accountants of Nepal

Preamble: Whereas it is expedient to establish and manage the Institute of Chartered Accountants of Nepal in order to develop, protect and promote the accounting profession, for the economic development of the nation, by raising public awareness of the importance of accounts and of the economic and social responsibility of professional accountants, thereby enhancing social recognition and faith in the accounting profession, and by making professional accountants aware of their responsibility towards the importance of the accounting profession and of accounts;

Now, therefore, Parliament has enacted this Act in the Twenty-fifth year of the reign of His Majesty King Birendra Bir Bikram Shah Dev.

[1]This Act came into force on 15 Jestha 2065 (BS).

[2]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

Table of Contents

Chapter-1 Preliminary....4
1. Short title and commencement:– 4
2. Definitions:– 4
Chapter-2 Establishment and Management of the Institute....5
3. Establishment of the Institute:– 5
4. The Institute to be an autonomous body:–....5
5. Objectives of the Institute:–....6
6. Nobody else to use the name, emblem and authority of the Institute:–....6
Chapter-3 Constitution, Functions, Duties and Powers of the Council 6
7. Constitution of the Council:–....6
8. Circumstances in which a Council Member shall cease to hold office:– 7
9. Vacancy and filling of vacancy:– 7
10. Meetings and decisions of the Council:–....8
11. Functions, duties and powers of the Council:–....8
12. Actions not to be invalid:–....10
13. Committees of the Council:– 11
14. Disciplinary Committee:–....11
15. Executive Committee:–....12
Chapter-3A Accounting Standards Board 13
15A. Constitution of the Accounting Standards Board:– 13
15B. Functions, duties and powers of the Accounting Standards Board:–....14
15C. Circumstances in which a member shall cease to hold office:–....14
Chapter-3B Standards on Auditing Board 14
15D. Constitution of the Standards on Auditing Board:–....14
15E. Functions, duties and powers of the Standards on Auditing Board:– 15
15F. Circumstances in which a member shall cease to hold office:– 15
Chapter-4 Membership of the Institute 16
16. Membership of the Institute:–....16
17. Fellow Chartered Accountant (F.C.A.):–....16
18. Disqualification for membership:– 17
19. Name to be registered:– 17
20. Membership registration certificate:– 17
21. Notice to be given on ceasing to practise or changing address:– 18
22. Provision for removal of name and re-registration:–....18
23. Cancellation of certificate:–....18
Chapter-5 Provisions Relating to Examinations 18
24. Provision for curricula and course books:– 18

25. Certificates to be awarded:–.....19
Chapter-6 Recognition of Educational Qualifications.....19
26. Recognition by the Council:– 19
27. Recognition of foreign accounting bodies:–.....19
Chapter-7 Certificate of Practice 20
28. Certificate of Practice:– 20
28A. Accounting firms to be registered:–.....20
29. Audit services not to be provided:– 20
30. Special provision relating to Registered Auditors:–.....20
30A. Limit of audit work:–.....21
30B. Upgrading of class of Certificate of Practice:–.....21
31. Matters to be disclosed in the report:–.....21
32. Publication of list of members:–.....21
33. Fees to be paid:– 21
Chapter-8 Conduct.....21
34. Code of conduct to be observed:–.....21
35. Complaints may be lodged:– 23
Chapter-9 Funds of the Institute 23
36. Funds of the Institute:– 23
37. Accounts and audit of the Fund of the Institute:–.....24
Chapter-10 Provisions Relating to Employees 24
38. Executive Director:–.....24
39. Functions, duties and powers of the Executive Director:– 24
40. Other employees of the Institute:–.....25
Chapter-11 Punishment.....25
41. Punishment:–.....25
Chapter-12 Miscellaneous 26
42. Constitution of the Ad-hoc Council:–.....26
43. Protection for acts done in good faith:–.....26
44. Delegation of authority:–.....26
45. Power to give directives:–.....27
46. Contact with Nepal Government:– 27
47. Power to frame Regulations:–.....27
48. Power to frame Bye-laws:–.....27
49. Repeal and savings:–.....27

Chapter-1
Preliminary

1. Short title and commencement:–

(1) This Act may be called the "Nepal Chartered Accountants Act, 2053 (1997)."

(2) Sections 29 and 49 of this Act shall come into force from the date specified by Nepal Government by notification published in the Nepal Gazette[3], and the other sections shall come into force immediately.

2. Definitions:–

In this Act, unless the subject or context otherwise requires,–

(a) "Institute" means the Institute of Chartered Accountants of Nepal established pursuant to section 3.

(b) "Council" means the Council constituted pursuant to section 7.

(c) "President" means the President of the Council.

(d) "Vice-President" means the Vice-President of the Council.

(e) "Council Member" means a member of the Council, and this term also includes the President and the Vice-President.

(f) "Executive Director" means the Executive Director appointed pursuant to section 38.

(g) "Member" means a person who has obtained membership of the Institute by having his or her name registered in the Institute under this Act.

(h) [4] "Chartered Accountant" means a person who has obtained membership of the Institute pursuant to sub-section (2)of section 16.

(h1) [5] "Fellow Chartered Accountant (F.C.A.)" means a member who has obtained membership of the Institute pursuant to section 17.

(i) "Registered Auditor" means a person who has obtained an auditor's certificate under the Auditors Act, 2031 (1974).

(j) [6] "Certificate of Practice" means the certificate granted pursuant to section 28 for carrying on the accounting profession professionally.

(j1) [7] "Audit" means an audit carried out in accordance with the prevailing law on the basis of a Certificate of Practice.

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[3]Sections 29 and 49 were specified to come into force from 1 Shrawan 2059 (BS) (as per the Nepal Gazette of 2059.4.1).

[4]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.

[5]Inserted by the Nepal Chartered Accountants (First Amendment) Act, 2059.

[6]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.

[7]Inserted by the Nepal Chartered Accountants (First Amendment) Act, 2059.

(j2) [8] "Foreign Accounting Body" means a national-level chartered accountants body, or an equivalent accounting body, having authority to regulate the public accounting profession in a foreign country.

(j3) [9] "Accounting Standards Board" means the Accounting Standards Board constituted pursuant to section 15A.

(j4) [10] "Standards on Auditing Board" means the Standards on Auditing Board constituted pursuant to section 15D.

(j5) [11] "Accounting Standards" means the accounting standards, together with the directives and interpretations relating thereto, arranged or recommended by the Accounting Standards Board in order to systematize and regulate the accounting profession and financial reporting.

(j6) [12] "Standards on Auditing" means the standards on auditing, together with the directives and interpretations relating thereto, arranged or recommended by the Standards on Auditing Board in order to systematize and regulate the accounting profession and auditing.

(k) "Prescribed" or "as prescribed" means prescribed or as prescribed in the Regulations or Bye-laws framed under this Act.

Chapter-2
Establishment and Management of the Institute

3. Establishment of the Institute:–

(1) For the development of the accounting profession, an institute named the Nepal Chartered Accountants Sanstha has been established.

(2) The Institute shall be called "The Institute of Chartered Accountants of Nepal" in the English language.

(3) The head office of the Institute shall be located in Kathmandu Valley, and the Institute may, as per necessity, open its training centres and branch and sub-branch offices at any place within Nepal .....[13].

4. The Institute to be an autonomous body:–

(1) The Institute shall be an autonomous and corporate body with perpetual succession.

(2) The Institute shall have a separate seal of its own for its business.

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[8] Inserted by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[9] Inserted by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[10] Inserted by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[11] Inserted by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[12] Inserted by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[13] Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

(3) The Institute may, like an individual, acquire, use, sell and dispose of, or otherwise deal with, movable and immovable property.

(4) The Institute may sue and be sued in its own name, like an individual.

5. Objectives of the Institute:–

The objectives of the Institute shall be as follows:–

(a) To play the role of a regulatory body to encourage members to carry on the accounting profession within the bounds of the code of conduct, by consolidating and developing the accounting profession as a cause for the economic development of the nation.

(b) To enhance social recognition and faith in the accounting profession by raising public awareness of the importance of accounts ..... [14] and of the economic and social responsibility of professional accountants.

(c) To develop, protect and promote the accounting profession by making ..... [15] professional accountants aware of their responsibility towards the importance of the accounting profession and of accounts.

(d) To develop the registration, qualification and examination system of professional accountants in line with international norms and practices, so as to make the accounting profession respectable and reliable.

6. Nobody else to use the name, emblem and authority of the Institute:–

After the establishment of the Institute under this Act, no person shall use any name or emblem resembling the name of the Institute, issue any kind of certificate to anyone, give any kind of direction to anyone on behalf of the Institute, or exercise any kind of authority that the Institute is entitled to exercise.

Chapter-3
Constitution, Functions, Duties and Powers of the Council

7. Constitution of the Council:–

(1) A Council shall be constituted in order to carry out systematically the programmes necessary for attaining the objectives of the Institute and to supervise and manage all the activities of the Institute.

(2) Except as otherwise provided in this Act, the Council shall exercise all the powers and discharge all the duties conferred on the Institute, subject to this Act and the Regulations and Bye-laws framed under this Act.

(3) The Council shall consist of the following Council Members:–

[14]Omitted by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[15]Omitted by the Nepal Chartered Accountants (First Amendment) Act, 2059.

(a) Ten persons elected by and from amongst the Chartered Accountant members[16] – Member

(b) Four persons elected by and from amongst the Registered Auditor members[17] – Member

(c) Three persons nominated by Nepal Government, on the recommendation of the Auditor General, from amongst persons having experience in accounting – Member

(4) The Council Members shall elect the President and the Vice-President from amongst the Fellow Chartered Accountants (F.C.A.) among the Council Members referred to in clause (a) of sub-section (3).

(5) The term of office of the President and the Vice-President shall be one year, and upon expiry of the term they shall be eligible to be elected for one more term.

(6) The term of office of the Council Members shall be three years, and upon expiry of the term they shall be eligible to be re-elected or re-nominated.

(7) The procedure relating to the election of Council Members shall be as prescribed.

(8) The functions, duties and powers of the President and the Vice-President shall be as prescribed.

8. Circumstances in which a Council Member shall cease to hold office:–

(1) A Council Member shall not remain in office in any of the following circumstances:–

(a) If he or she ceases to be a member of the Institute,

Provided that this provision shall not apply to a nominated Council Member.

(b) If his or her resignation is accepted by the Council,

(c) If he or she remains absent from three consecutive meetings of the Council without giving notice with reasons to the Council,

(d) If his or her term of office expires,

(e) If non-compliance with the code of conduct referred to in section 34 is proved,

(f) If he or she dies.

(2) While resigning pursuant to clause (b) of sub-section (1), the President shall submit the resignation to the Vice-President, and the other Council Members to the President.

9. Vacancy and filling of vacancy:–

(1) Where the seat of a Council Member elected pursuant to clause (a) or (b) of sub-section (3) of section 7 falls vacant owing to death, resignation or disqualification from continuing as a member of the Institute under this Act, the Council shall designate any member of

[16]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[17]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.

the Institute, from among the members mentioned in the same clauses of the same sub-section, as a Council Member if the remaining term of office is less than one year; and if the remaining term is more than one year, the vacancy shall be filled through election.

(2) Where the seat of a Council Member nominated pursuant to clause (c) of sub-section (3) of section 7 falls vacant owing to death or resignation, a person shall be nominated for the remaining term, following the process mentioned in the same clause.

10. Meetings and decisions of the Council:–

(1) The Executive Director shall convene a meeting of the Council on the date, at the time and in the place fixed by the President.

(2) The Council shall ordinarily meet six times a year, and the interval between two meetings shall not exceed three months.

(3) The President shall chair the meeting of the Council, and in his or her absence the Vice-President; and in the absence of both, a Council Member chosen by the Council Members from amongst themselves shall chair the meeting.

(4) If twenty-five percent of the total number of Council Members submit a written request to the President that a meeting of the Council is necessary, the President shall, within fifteen days of the request, direct the Executive Director to convene the meeting.

(5) The presence of fifty percent of the total number of Council Members shall constitute a quorum for a meeting of the Council.

(6) The opinion of the majority at a meeting of the Council shall be the decision of the Council, and in case of a tie, the person chairing the meeting shall have the casting vote.

(7) The decisions of the Council shall be authenticated by the Executive Director.

(8) The Council may, if it deems necessary, invite any officer of Nepal Government, or any domestic or foreign expert, adviser or distinguished person related to the accounting profession, to attend a meeting of the Council as an observer.

(9) Other procedures relating to meetings of the Council shall be as determined by the Council itself.

11. Functions, duties and powers of the Council:–

The functions, duties and powers of the Council shall be as follows:–

(a) To conduct examinations for those entering the accounting profession.

(b) [18] To determine the procedures relating to the registration of names of members of the Institute and of members holding a Certificate of Practice.

[18]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.

(c) To grant membership of the appropriate class pursuant to section 16 to persons who have attained the prescribed qualifications.

(d) To develop the accounting profession in a coordinated manner through optimum utilisation of available resources and means.

(e) To determine the qualifications required for skilled manpower for the development of the accounting profession.

(f) To determine the curriculum and the type of practical training required to attain membership.

(g) To conduct various teaching and training programmes, in collaboration with universities or other academic institutions or by the Institute itself.

(h) [19] To issue Certificates of Practice to members for carrying on the accounting profession.

(i) To provide career development opportunities to members and enhance their efficiency.

(j) [20] To monitor whether or not a member or a member holding a Certificate of Practice has acted in conformity with the professional code of conduct prescribed for members and [21]members holding a Certificate of Practice.

(k) [22] To take necessary action, in accordance with the recommendation of the Disciplinary Committee, in respect of acts and actions of members and members holding a Certificate of Practice in contravention of the professional code of conduct.

(l) To give theoretical or practical guidance and direction on various aspects of accounting and auditing, and to carry out other work necessary for professional development.

(m) [23] To comply with, and cause to be complied with, the Accounting Standards and Standards on Auditing arranged or recommended by the Accounting Standards Board and the Standards on Auditing Board, and to regulate whether they are complied with.

(n) To safeguard the rights and interests of members and to protect and promote their reputation.

[19]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[20]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[21]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[22]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[23]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.

(o) To give advice and suggestions to Nepal Government for the improvement of the various prevailing laws relating to industry, commerce, finance, revenue and the accounting profession.

(p) To obtain membership of international federations of accountants and of regional and sub-regional federations, and to establish contact with accounting bodies of other countries.

(q) To recommend appropriate educational standards for accounting education, in coordination with universities and other educational institutions.

(r) To conduct training, symposia and seminars necessary to enhance the professional efficiency of Registered Auditors.

(s) To conduct short-term or long-term training, symposia and the like for the benefit of manpower engaged in the accounting profession.

(t) To publish materials related to the accounting profession.

(u) To operate a library related to the accounting profession.

(v) To determine the procedures to be followed by the committees constituted by the Council.

(w) To approve the budget of the Institute and to arrange for the Fund.

(x) To appoint the employees required by the Institute and to fix their remuneration and other benefits.

(x1) [24] To arrange for continued professional education for members.

(x2) [25] To develop an education system to produce accounting technicians and to carry out other necessary work in that regard.

(y) To carry out such other functions as are prescribed under this Act or the Regulations and Bye-laws framed under this Act.

(z) To carry out any other work necessary to fulfil the objectives of this Act.

12. Actions not to be invalid:–

No action taken in accordance with a decision of the Council shall be invalid merely on the ground that a seat of a Council Member was vacant, or that a person who did not possess the qualifications required to be a Council Member had been elected or nominated as a Council Member.

[24]Inserted by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[25]Inserted by the Nepal Chartered Accountants (First Amendment) Act, 2059.

13. Committees of the Council:–

(1) The Council may, under its own responsibility, constitute the following standing committees:–

(a) Disciplinary Committee,

(b) Examination Committee,

(c) Executive Committee,

(d) Professional Guidance Committee.

(2) The Council may constitute other committees as necessary to fulfil the objectives of the Institute.

(3) The functions, duties and powers of the committees constituted under this section shall be as prescribed.

(4)[26] While constituting committees under sub-section (1), no committee shall be so constituted that members of one committee, other than the President and the Vice-President, are also included in another committee.

14. Disciplinary Committee:–

(1) A Disciplinary Committee consisting of the following members shall be constituted to investigate and recommend to the Council the necessary action in respect of any complaint lodged with the Institute that any member ..... [27] has done any act contrary to this Act, or [28]the Regulations or code of conduct framed under this Act, or where the Institute receives information of such an act:–

(a) A Fellow Chartered Accountant (F.C.A.) designated by the Council from amongst the Council Members referred to in clause (a) of sub-section (3) of section 7 – Chairman

(b) Three persons nominated by the Council from amongst the Council Members – Member

(c) Two persons nominated by the Council from amongst the members – Member

(d) One person nominated by the Auditor General – Member

(2) Notwithstanding anything contained in sub-section (1), the Chairman or a member of the Disciplinary Committee shall not take part, or vote, in a meeting convened to investigate and recommend necessary action to the Council on a complaint that the Chairman or the member has done any act contrary to this Act, or the Regulations, Bye-laws or code of conduct framed under this Act.

[26]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[27]Omitted by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[28]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.

(3) The procedure of the meetings of the Disciplinary Committee, and the term of office of the Chairman and members of the Disciplinary Committee, shall be as prescribed.

(4) The Disciplinary Committee shall have the same powers as a court in respect of issuing orders to the concerned person and examining evidence and witnesses.

(5) The Disciplinary Committee shall recommend to the Council, with its opinion and findings, the necessary action against a member ..... [29] found guilty upon investigation, and the Council, after considering such recommendation, may impose upon the member ..... [30] any of the following punishments according to the gravity of the offence:–

(a) Reprimand,

(b) Removal from membership for a period of up to five years,

(c) Prohibition from carrying on the accounting profession for a specified period,

(d) [31] Cancellation of the Certificate of Practice or of the membership certificate.

(6) Where the Disciplinary Committee, after investigating a complaint that a Council Member has done any act contrary to this Act, or the Regulations, Bye-laws or code of conduct framed under this Act, submits to the Council a recommendation with its opinion and findings to take necessary action against that Council Member, that Council Member shall not take part, or vote, in the meeting of the Council when the Council decides on such recommendation.

(7) Before imposing a punishment under sub-section (5), the Council shall give the concerned ..... [32] member a reasonable opportunity to submit his or her clarification.

(8) A concerned ..... [33] member who is not satisfied with the decision under sub-section (5) may appeal to the High Court[34].

15. Executive Committee:–

(1) An Executive Committee consisting of the following members shall be constituted, under the direction of the Council, to carry out the day-to-day business of the Institute:–

(a) President – Chairman

(b) Vice-President – Vice-Chairman

(c) Two persons nominated by the Council from amongst the Council Members – Member

(d) Executive Director – Member-Secretary

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[29]Omitted by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[30]Omitted by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[31]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[32]Omitted by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[33]Omitted by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[34]Amended by the Some Nepal Acts Amendment Act, 2072.

(2) The functions, duties and powers of the Executive Committee, and the procedure of its meetings, shall be as prescribed.

Chapter-3A
[35]Accounting Standards Board

15A. Constitution of the Accounting Standards Board:–

(1) Nepal Government shall constitute an Accounting Standards Board in order to systematize and regulate financial reporting and the accounting profession.

(2) The Accounting Standards Board shall consist of the following members:–

(a) One person nominated by Nepal Government from amongst the Fellow Chartered Accountants – Chairman

(b) Representative, Ministry of Finance – Member

(c) [36]Representative, Office of the Auditor General – Member

(d) Representative, Office of the Comptroller General – Member

(e) Registrar, Office of the Company Registrar – Member

(f) [37]Director General, Department of Inland Revenue – Member

(g) [38]Chairperson, or a representative designated by him or her, Securities Board of Nepal – Member

(h) Five persons nominated by Nepal Government, on the recommendation of the Council, from amongst the Chartered Accountants – Member

(i) One person nominated by Nepal Government, on the recommendation of the Council, from amongst the Registered Auditor members – Member

(3) The Accounting Standards Board may, if it deems necessary, invite the concerned experts to attend its meetings as observers.

(4) The term of office of the members referred to in clauses (a), (h) and (i) of sub-section (2) shall be three years, and upon expiry of the term they shall be eligible for re-appointment or re-nomination.

(5) The procedure of the meetings of the Accounting Standards Board shall be as determined by the Board itself.

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[35]Inserted by the Nepal Chartered Accountants (First Amendment) Act, 2059.

[36]Amended by the Act to Amend Some Nepal Acts to Bring them in Conformity with the Constitution of Nepal, 2075.

[37]Amended by the Act to Amend Some Nepal Acts to Bring them in Conformity with the Constitution of Nepal, 2075.

[38]Amended by the Act to Amend Some Nepal Acts to Bring them in Conformity with the Constitution of Nepal, 2075.

(6) The secretariat of the Accounting Standards Board shall be located at the head office of the Institute.

15B. Functions, duties and powers of the Accounting Standards Board:–

The functions, duties and powers of the Accounting Standards Board shall be as follows:–

(a) To arrange Accounting Standards, taking as a basis, among others, the International Accounting Standards, in order to systematize and regulate financial reporting and the accounting profession,

(b) To prepare appropriate procedures for developing the Accounting Standards and to publish materials relating to the Accounting Standards,

(c) To amend, improve and revise the Accounting Standards,

(d) To interpret the Accounting Standards,

(e) To carry out other work relating to the Accounting Standards.

15C. Circumstances in which a member shall cease to hold office:–

A member of the Accounting Standards Board shall not remain in office in any of the following circumstances:–

(a) If he or she resigns,

(b) If he or she remains absent from three consecutive meetings of the Board without notice,

(c) If he or she is convicted by a court and sentenced for a criminal charge involving moral turpitude,

(d) If he or she becomes insane,

(e) If he or she is declared insolvent, being unable to repay the creditors' debts,

(f) If he or she dies,

(g) In the case of a member of the Institute, if his or her name is removed from the membership register pursuant to section 22.

Chapter-3B
[39]Standards on Auditing Board

15D. Constitution of the Standards on Auditing Board:–

(1) Nepal Government shall constitute a Standards on Auditing Board in order to systematize and regulate the accounting profession and auditing.

(2) The Standards on Auditing Board shall consist of the following members:–

[39]Inserted by the Nepal Chartered Accountants (First Amendment) Act, 2059.

(a) One person nominated by Nepal Government from amongst the Fellow Chartered Accountants – Chairman

(b) Representative, Ministry of Finance – Member

(c) [40]Representative, Office of the Auditor General – Member

(d) Three persons nominated by Nepal Government, on the recommendation of the Council, from amongst the Chartered Accountants – Member

(e) One person nominated by Nepal Government, on the recommendation of the Council, from amongst the Registered Auditor members – Member

(3) The Standards on Auditing Board may, if it deems necessary, invite the concerned experts to attend its meetings as observers.

(4) The term of office of the members referred to in clauses (a), (d) and (e) of sub-section (2) shall be three years, and upon expiry of the term they shall be eligible for re-appointment or re-nomination.

(5) The procedure of the meetings of the Standards on Auditing Board shall be as determined by the Board itself.

(6) The secretariat of the Standards on Auditing Board shall be located at the head office of the Institute.

15E. Functions, duties and powers of the Standards on Auditing Board:–

The functions, duties and powers of the Standards on Auditing Board shall be as follows:–

(a) To arrange Standards on Auditing, taking as a basis, among others, the International Standards on Auditing, in order to systematize and regulate the accounting profession and financial reporting,

(b) To prepare appropriate procedures for developing the Standards on Auditing and to publish materials relating to the Standards on Auditing,

(c) To amend, improve and revise the Standards on Auditing,

(d) To interpret the Standards on Auditing,

(e) To carry out other work relating to the Standards on Auditing.

15F. Circumstances in which a member shall cease to hold office:–

A member of the Standards on Auditing Board shall not remain in office in any of the following circumstances:–

(a) If he or she resigns,

[40]Amended by the Act to Amend Some Nepal Acts to Bring them in Conformity with the Constitution of Nepal, 2075.

(b) If he or she remains absent from three consecutive meetings of the Board without notice,

(c) If he or she is convicted by a court and sentenced for a criminal charge involving moral turpitude,

(d) If he or she becomes insane,

(e) If he or she is declared insolvent, being unable to repay the creditors' debts,

(f) If he or she dies,

(g) In the case of a member of the Institute, if his or her name is removed from the membership register pursuant to section 22.

Chapter-4
Membership of the Institute

16. Membership of the Institute:–

[41] (1) The membership of the Institute shall be classified into the following classes:–

(a) Chartered Accountant, and

(b) Registered Auditor.

(2) Subject to section 18, membership as a Chartered Accountant shall be granted to a person who has the following qualifications:–

(a) On the date of commencement of this sub-section, has obtained a certificate as a Registered Auditor of class 'A', or of class 'B' on the basis of having passed the chartered accountancy examination, under the Auditors Act, 2031 (1974), or

(b) Has passed the chartered accountancy or an equivalent examination from the Institute or from a foreign accounting body recognised by the Institute, and has received professional training related to the accounting profession.

(3) Subject to section 16, membership as a Registered Auditor shall be granted to a person who, on the date of commencement of this sub-section, holds an auditor's certificate of class 'B', 'C' or 'D' under the Auditors Act, 2031 (1974).

17. Fellow Chartered Accountant (F.C.A.):–

[42] Membership as a Fellow Chartered Accountant may be granted, as prescribed, to the following members:–

(a) A person who, on the date of commencement of this section, has obtained a certificate as a Registered Auditor of class 'A' under the Auditors Act, 2031 (1974),

[41] Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[42] Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.

(b) A Chartered Accountant member who has been engaged in the accounting profession for at least five years.

18. Disqualification for membership:–

The following persons shall not be eligible to be registered as members of the Institute:–

(a) One who does not have the qualifications referred to in sub-sections (2) and (3) of section 16,

(b) One who has not completed twenty-one years of age,

(c) .....[43]

(d) One who has been declared insolvent, being unable to repay the creditors' debts,

(e) One who has been punished by a court for a criminal charge involving moral turpitude,

(f) One who is insane.

19. Name to be registered:–

(1) A person who wishes to become a member of the Institute and has the qualifications under this Act shall submit an application to the Institute, stating the prescribed details, in the prescribed format.

(2) In order to obtain membership of the Institute pursuant to sub-section (1), the prescribed fee shall be paid for registration of the name.

(3)[44] A person who has the qualifications to obtain membership pursuant to sub-section (3) of section 16 and wishes to have his or her name registered in the membership of the Institute shall submit an application to the Institute within six months from the date on which Nepal Government, by notification published in the Nepal Gazette, brought sections 29 and 49 of this Act into force. A person who does not apply for membership within that period shall not obtain membership under this Act.

20. Membership registration certificate:–

(1) If a person applying pursuant to sub-section (1) of section 19 is found eligible to become a member of the Institute, the Council shall register the name of such person in the membership register of the Institute and issue a membership registration certificate in the prescribed format, stating the class of membership.

(2) The Institute shall maintain a separate membership registration register for each class of membership, as prescribed.

(3) Other provisions relating to registration of membership shall be as prescribed.

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[43]Omitted by the Nepal Chartered Accountants (First Amendment) Act, 2059.

[44]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.

21. Notice to be given on ceasing to practise or changing address:–

A member who ceases to practise or changes his or her address shall give notice to the Institute within thirty-five days of ceasing to practise or changing the address.

22. Provision for removal of name and re-registration:–

(1) The Council may order the removal of the name of a member from the membership register in any of the following circumstances:–

(a) If he or she is convicted by a court and punished for a criminal charge involving moral turpitude,

(b) If he or she fails to pay the fees payable to the Institute,

(c) If he or she fails to observe the professional conduct under this Act and the Regulations framed under this Act,

(d) If he or she becomes insane, or

(e) If he or she dies.

(2) Where a person whose name has been removed from the membership register under sub-section (1) applies to be registered again, showing reasonable grounds, the Council may decide to register his or her name again and grant membership, upon receiving the prescribed fee.

23. Cancellation of certificate:–

If, upon receiving information that the name of a person has been registered in the membership of the Institute by fraud or mistake, an inquiry confirms the matter to be true, the Council may cancel the membership registration certificate of such person and, if he or she has obtained a Certificate of Practice, that certificate also, and notice thereof shall be published in the newspapers.

Chapter-5
Provisions Relating to Examinations

24. Provision for curricula and course books:–

(1) The Council may determine the educational level, curriculum and course books required for becoming a professional accountant or[45] an accounting technician, and conduct examinations.

(2) While making arrangements for the examinations under sub-section (1), the Council may, if it deems necessary, also take the advice and assistance of universities within Nepal .....[46] and of accounting bodies, institutions or experts of other countries.

[45]Inserted by the Nepal Chartered Accountants (First Amendment) Act, 2059.

[46]Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.

(3) The Council may conduct the examinations under sub-section (1) by itself or with the assistance of domestic or foreign universities or other institutions.

(4) The qualifications required to appear in the examinations relating to a professional accountant or[47] an accounting technician shall be as prescribed.

(5) Other provisions relating to the conduct of examinations shall be as prescribed.

(6) The arrangements relating to study and teaching to be conducted by the Institute under this Chapter shall be as prescribed.

25. Certificates to be awarded:–

The Council shall award certificates, as prescribed, to persons who have passed the examinations taken under this Chapter.

Chapter-6
Recognition of Educational Qualifications

26. Recognition by the Council:–

(1)[48] A person who has passed the chartered accountancy or an equivalent examination from a foreign accounting body and has received training shall submit an application to the Institute, as prescribed, for recognition of such examination and training, and upon receipt of such application the Council shall decide whether or not to recognise such examination and training.

(2)[49] If the Council decides that the applicant must fulfil any condition before recognition of the examination and training under sub-section (1), it shall also specify such condition.

(3) Where a condition is specified under sub-section (2) as required to be fulfilled, an application for membership of the Institute under this Act may be submitted only after such condition has been fulfilled.

27. Recognition of foreign accounting bodies:–

[50] (1) The Council may, with the prior approval of Nepal Government, recognise foreign accounting bodies and recognise the examinations taken, and the training provided, by such bodies.

(2) The Council shall maintain a list of the bodies recognised under sub-section (1), and it shall not be necessary to follow the procedure under section 26 in respect of recognition of the examinations taken and the training provided by the bodies included in such list.

[47]Inserted by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[48]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[49]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[50]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.

Chapter-7
[51]Certificate of Practice

28. Certificate of Practice:–

[52] (1) A member who wishes to provide audit services shall submit an application to the Institute, in the prescribed format, to obtain a Certificate of Practice.

(2) After the member applying under sub-section (1) has fulfilled the prescribed conditions, the Council shall grant such member a Certificate of Practice in the prescribed format.

(3) The Council may fix conditions for members holding a Certificate of Practice and cause them to be observed, and may frame and enforce a code of conduct for such members.

28A. Accounting firms to be registered:–

[53] (1) A member holding a Certificate of Practice who wishes to provide audit services in the name of an accounting firm shall submit an application to the Institute, in the prescribed format, to register such firm.

(2) The procedure relating to the registration of accounting firms shall be as prescribed.

(3) After the procedure under sub-section (2) has been completed, the Council shall issue a certificate of registration of the accounting firm in the prescribed format.

29. Audit services not to be provided:–

[54] No person shall provide audit services without obtaining a Certificate of Practice.

Provided that this section shall not be deemed to prevent Nepal Government from making separate arrangements to regulate, or cause to be regulated, audits other than the audit of companies or business organisations established under the Companies Act.

30. Special provision relating to Registered Auditors:–

[55] Notwithstanding anything contained elsewhere in this Act, the Council shall, subject to this Act and the Regulations and Bye-laws framed under this Act, classify as prescribed the Registered Auditors in existence on the date of commencement of this section and issue them a Certificate of Practice to provide audit services under this Act.

Provided that such Registered Auditors shall not be deprived of the benefits they have been receiving under the Auditors Act, 2031 (1974).

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[51]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[52]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[53]Inserted by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[54]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[55]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.

30A. Limit of audit work:–

[56] The limit of audit work that a member holding a Certificate of Practice classified pursuant to section 30 may carry out shall be as fixed by the Council, with the approval of Nepal Government.

30B. Upgrading of class of Certificate of Practice:–

[57] The Council may, following the prescribed procedure, upgrade the class of the Certificate of Practice obtained by a Registered Auditor pursuant to section 30.

31. Matters to be disclosed in the report:–

[58] A member holding a Certificate of Practice shall disclose, in the report of the audit carried out by him or her, the matters as prescribed.

32. Publication of list of members:–

[59] The Institute shall, within three months of the end of each fiscal year, publish the list of members and of members holding a Certificate of Practice.

33. Fees to be paid:–

[60] Members, members holding a Certificate of Practice and accounting firms registered pursuant to section 28A shall pay the prescribed fees to the Institute.

Chapter-8
Conduct

34. Code of conduct to be observed:–

(1)[61] Members and members holding a Certificate of Practice shall fully comply with this Act and the Regulations framed under this Act.

(2)[62] A member shall not carry out audit work in partnership, or in collusion in any manner, with a person who has not obtained a Certificate of Practice of his or her class.

(3) A member shall not share with, or distribute as profit to, any person other than a person who has obtained membership of the Institute the audit fee or remuneration received or earned by him or her, and shall not pay commission, brokerage or the like out of the professional fee received or earned by him or her to any person, including a person who has obtained membership.

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[56] Inserted by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[57] Inserted by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[58] Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[59] Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[60] Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[61] Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[62] Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.

(4)[63] A member shall not, directly or indirectly, influence any person by showing fear, threat, terror or inducement in order to obtain accounting professional work.

(5) A member shall not disclose or divulge to any person, other than the person who engaged him or her and a person to whom he or she is compelled by the prevailing law to do so, any information or explanation obtained in the course of his or her profession.

(6)[64] A member holding a Certificate of Practice shall not certify any financial statement or give any kind of report unless it has been checked and verified by him or her or by his or her partner or employee.

(7)[65] A member holding a Certificate of Practice shall, while certifying the financial statement of, or giving a report on, any organisation in which he or she or his or her partner has an interest, clearly mention that his or her or his or her partner's interest is involved.

Provided that being merely a shareholder in a company shall not be deemed to involve an interest.

(8)[66] A member holding a Certificate of Practice shall clearly disclose any material facts known to him or her in order to show truly any financial statement certified by him or her, or, to the best of his or her knowledge, shall also clearly mention if any financial statement certified by him or her contains any incorrect statement or explanation.

(9)[67] A member holding a Certificate of Practice shall exercise due care in the course of his or her profession and shall draw the attention of all concerned to any material matters that are, or have been, contrary to the prevailing law and to the generally accepted principles of auditing.

(10)[68] A member holding a Certificate of Practice shall not base his or her remuneration for work done on a percentage of profit or on any other uncertain basis.

(11) A member shall not knowingly or negligently mention any false matter in any notice, explanation or statement to be given to any office or department of Nepal Government or to any organisation under the prevailing law.

(12) A member shall not audit any organisation in which he or she was employed until at least three years have elapsed since he or she left the service of that organisation.

(13) No member[69] holding a Certificate of Practice shall accept appointment as the auditor of any organisation without ensuring that the procedures required by the prevailing law for appointment as auditor have been completed.

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[63]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[64]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[65]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[66]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[67]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[68]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[69]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.

(14) A member shall have obtained sufficient relevant information before expressing his or her opinion in relation to an audit.

(15)[70] Other matters relating to the conduct to be observed by members holding a Certificate of Practice and by members shall be as prescribed.

35. Complaints may be lodged:–

(1)[71] Any person concerned may lodge a complaint with the Institute against a member holding a Certificate of Practice for not observing the conduct mentioned in this Act or the Regulations framed under this Act, or for [72]such member violating this Act or the Regulations framed under this Act.

(2)[73] If facts that give reason to believe that a member holding a Certificate of Practice has not observed the conduct to be observed are found, the Executive Director shall submit a proposal to the Council, with the facts obtained, to take action against such [74]member holding a Certificate of Practice.

Chapter-9
Funds of the Institute

36. Funds of the Institute:–

(1) The Institute shall have a separate Fund, and the following amounts shall form part of the Fund:–

(a) Grants received from Nepal Government,

(b) Amounts received from international or foreign associations or organisations,

Provided that the prior approval of Nepal Government shall be obtained while receiving such amounts.

(c) Amounts received on registration of names of members or on granting a Certificate of Practice,

(d) Income earned from the movable and immovable property of the Institute,

(e) Amounts received from other sources.

(2) All amounts received by the Institute shall be deposited in an account opened in the name of the Institute in any commercial bank of Nepal.

(3) All expenses to be incurred on behalf of the Institute shall be met from the Fund referred to in sub-section (1).

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[70]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[71]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[72]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[73]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[74]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.

Provided that an amount received for a specific purpose shall be spent only for that purpose.

(4) The expenses to be met from the Fund shall be incurred by the Executive Director under the supervision and control of the Council.

(5) The Fund account shall be operated as determined by the Council.

37. Accounts and audit of the Fund of the Institute:–

(1) The income and expenditure accounts of the Institute shall be maintained in the format determined by the Council.

(2) The accounts of the Institute shall be audited by an accounting professional appointed by the Council.

(3) Nepal Government may, if it so wishes, inspect, or cause to be inspected, the documents relating to the accounts of the Institute at any time.

Chapter-10
Provisions Relating to Employees

38. Executive Director:–

(1) The Council shall appoint a person having experience in accounting as the Executive Director to carry out the administrative business of the Institute.

(2) The term of office of the Executive Director shall be four years, and the Council may reappoint him or her if it so wishes.

(3) In the absence of the Executive Director, the Council may designate any officer-level employee of the Institute to act as the Executive Director.

39. Functions, duties and powers of the Executive Director:–

(1) The functions, duties and powers of the Executive Director shall be as follows:–

(a) [75] To act as the chief executive of the Institute, being accountable to the Council,

(b) To carry out the day-to-day administrative work of the Institute,

(c) To prepare the annual budget of the Institute and submit it to the Council,

(d) To maintain, and cause to be maintained, the accounts of the Institute,

(e) [76] To keep in custody the registers of members and of members holding a Certificate of Practice, and to maintain them, or cause them to be maintained, up to date.

(2) The Executive Director shall work under the supervision and control of the Council.

[75] Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[76] Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.

(3) The other functions, duties and powers of the Executive Director, apart from those mentioned in this Act, shall be as prescribed.

40. Other employees of the Institute:–

(1) The appointment of the employees required by the Institute, who shall work under the direct supervision and control of the Executive Director, shall be made by the Council.

(2) The terms of service, remuneration and benefits of the employees of the Institute shall be as prescribed.

Chapter-11
Punishment

41. Punishment:–

(1)[77] A person who [78]carries out an audit without obtaining a Certificate of Practice under this Act shall be liable to a fine of up to two thousand rupees, or imprisonment for up to three months, or both.

(2) A person who, in contravention of section 6, uses the name or emblem of the Institute, or exercises any kind of authority that the Institute is entitled to exercise, shall be liable to a fine of up to one thousand rupees for the first time, and for any subsequent such act, to a fine of up to five thousand rupees or imprisonment for up to six months, or both, for each time.

Provided that this sub-section shall not apply to bodies constituted by law, or to universities or bodies related to the Institute.

(3)[79] A person who has not obtained a Certificate of Practice and is proved to have signed any document in the capacity of a [80]member holding a Certificate of Practice shall be liable to a fine of up to two thousand rupees, or imprisonment for up to three months, or both.

(4) A member who does any act contrary to this Act or the Regulations framed under this Act, other than as provided in this section, shall be suspended for up to five years and be liable to a fine of up to two thousand rupees, or imprisonment for up to three months, or both.

(5) A person who lodges a complaint with the intention of harassing a member, without a reasonable cause for lodging the complaint, shall be liable to a fine of up to one thousand rupees.

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[77]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[78]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[79]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.
[80]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.

(6) If any such complaint against a member is filed before the Council pursuant to section 35, cases other than those to be proceeded with under section 14 shall be instituted in the concerned High Court[81].

Chapter-12
Miscellaneous

42. Constitution of the Ad-hoc Council:–

(1) Notwithstanding anything contained elsewhere in this Act, until the Council is constituted pursuant to section 7, an Ad-hoc Council consisting of the following members shall be constituted in order to register the names of persons who have the qualifications and wish to become members of the Institute, to issue membership registration certificates, and to hold the election of the Council Members to represent the members in the Council:–

(a) President, Nepal Chartered Accountants Association – Chairman

(b) Three persons nominated by Nepal Government from amongst the auditors who have registered their names as auditors under the Auditors Act, 2031 (1974) – Member

(c) A Gazetted First Class Officer designated by Nepal Government – Member-Secretary

(2) The Ad-hoc Council constituted under sub-section (1) shall hold the election of the Council Members to represent the members in the Council within six months of the date of commencement of this Act.

(3) The Ad-hoc Council constituted under sub-section (1) may itself determine the procedure of its meetings and its other working procedures.

(4) Upon the constitution of the Council pursuant to section 7, the Ad-hoc Council constituted under sub-section (1) shall automatically stand dissolved. After the Ad-hoc Council is so dissolved, all the work and actions done by the Ad-hoc Council on behalf of the Council shall be deemed to have been done by the Council itself.

43. Protection for acts done in good faith:–

No member of the Council or of a committee of the Institute, nor the Executive Director, nor any employee of the Institute, shall be personally liable for any act done in good faith in accordance with this Act or the Regulations framed under this Act.

44. Delegation of authority:–

(1) The Council may, as necessary, delegate all or some of the powers conferred on it under this Act to a committee or to the Executive Director.

[81]Amended by the Some Nepal Acts Amendment Act, 2072.

(2) Any officer may delegate some of the powers conferred on him or her under this Act, to be exercised under his or her general supervision, to an officer-level employee subordinate to him or her.

45. Power to give directives:–

(1) Nepal Government may give necessary directives to the Council in respect of the business and actions of the Institute.

(2) The Auditor General may give necessary directives to the Council in respect of the development, protection and promotion of the accounting profession.

(3) It shall be the duty of the Council to comply with the directives given by Nepal Government or the Auditor General pursuant to sub-section (1) or (2).

46. Contact with Nepal Government:–

The Institute shall maintain contact with Nepal Government through the Ministry of Finance.

47. Power to frame Regulations:–

(1) The Council may frame necessary Regulations to implement the objectives of this Act.

(2) Notwithstanding anything contained in sub-section (1), where the Council has not been constituted pursuant to section 7, the Ad-hoc Council constituted pursuant to section 42 may frame necessary Regulations for the purpose of issuing membership registration certificates and holding the election of Council Members.

(3) The Regulations framed pursuant to sub-sections (1) and (2) shall come into force only after being approved by Nepal Government.

(4) Upon the coming into force of the Regulations framed by the Council pursuant to sub-section (1), the Regulations framed by the Ad-hoc Council pursuant to sub-section (2) shall automatically become ineffective.

48. Power to frame Bye-laws:–

The Council may frame Bye-laws for the day-to-day operation of the Institute, subject to this Act and the Regulations framed under this Act.

49. Repeal and savings:–

(1) The Auditors Act, 2031 (1974) is repealed.

(2)[82] Where, under any prevailing law, an auditor recognised by the Department of the Auditor General has been recognised as a recognised auditor for the purposes of that law, then, after the commencement of this Act, such recognised auditor shall be deemed to mean a member holding a Certificate of Practice under this Act.

[82]Amended by the Nepal Chartered Accountants (First Amendment) Act, 2059.

Note: (1) Words converted by the Nepal Chartered Accountants (First Amendment) Act, 2059: "Secretary" to "Executive Director"; "Senior Chartered Accountant" to "Fellow Chartered Accountant"; and "Accounting Profession Certificate", "Accounting Professional Certificate" and "Certificate of an Accounting Professional" to "Certificate of Practice". (2) Words converted by the Some Nepal Laws Amendment Act, 2063: "His Majesty's Government" to "Nepal Government".